TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Leadership and management

2 People in business
2.2 Organisation and management: leadership styles



A revision lesson. Pupils run a car dealership in firms of four and revise leadership and management on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Style for trainees

Round 1

A new team of trainees keeps making costly pricing errors. The manager leaves them to decide alone.

Which style suits them best now?

- **A** Let the best trainee lead
- **B** A democratic style
- **C** A more autocratic style
- **D** A laissez-faire style

ANSWER

✓ **A more autocratic style**

Why: Untrained staff need clear direction, so a more autocratic style suits them.

2 Team vote effects

Round 1

Your manager asks the sales team for ideas and lets them vote.

Which two effects are most likely?

- **A** Decisions are made faster
- **B** Decisions take longer
- **C** Staff feel valued
- **D** Staff lose interest in targets
- **E** The manager keeps full control

ANSWER

✓ **Decisions take longer**
✓ **Staff feel valued**

Why: Involving staff wins their support, but it takes time.

3 Styles by staff say

Round 2

Three leadership styles.

Order them by how much staff decide, least first?

- **A** Democratic
- **B** Laissez-faire
- **C** Autocratic

ANSWER

1. Autocratic
2. Democratic
3. Laissez-faire

Why: Autocratic: the leader decides; democratic: staff share; laissez-faire: staff decide.

Topic tasks

4 Cost of a meeting

Round 2

The manager asks the whole team.

Wage cost of the meeting?

Sales staff at the meeting	**11 staff**
Each one's pay an hour	**£16**
Manager's pay an hour	**£32**
Meeting length	**3 hours**

ANSWER

£624

3 × (11 × £16 + £32) = £624

Why: Asking the team wins support, but its time has a cost.

5 Decide in a crisis

Round 3

A safety fault means one model must come off sale within the hour.

How should the manager decide, and why?

A Decide alone and tell staff

B Hold a team vote first

ANSWER

✓ Decide alone and tell staff

Why: An emergency needs a fast, clear decision.

6 Help a keen team

Round 3

Your skilled, keen sales team hits every target, but complains the manager checks every deal.

Which change is most likely to help?

A Check every deal more closely

B Hold a vote on every small decision

C Give the team more freedom

D Set targets without asking them

ANSWER

✓ Give the team more freedom

Why: Skilled, motivated staff work best with freedom to decide.

Final questions

Each pupil answers 6 final questions: general IGCSE business questions.